9. INCOME TAXES

The provision for income taxes from continuing operations consisted of the following:

(Dollars in thousands)	2003	2002	2001
Current:			
Federal	$ 4,702	$ 2,801	$ 2,180
State	161	310	348
Foreign	43	70	75
Deferred:			
Federal	(536)	(2,738)	(992)
State	(90)	(282)	(110)
	$ 4,280	$ 161	$ 1,501

Reconciliation between the statutory income tax rate and effective tax rate from continuing operations is summarized below:

	2003	2002	2001
Statutory rate	34.0%	34.0%	34.0%
State tax, net of federal benefit	2.8	1.0	3.5
Effect of permanent items:			
Cash surrender value, net of expense	(3.2)	(19.2)	(2.0)
Goodwill amortization	—	4.6	1.7
Meals and entertainment	0.5	3.8	1.0
Other	(0.8)	(0.9)	0.4
Effect of tax credits from employment programs	(5.3)	(14.3)	(5.6)
	28.0%	9.0%	33.0%

The tax effect of significant temporary differences representing deferred tax assets and liabilities were as follows:

(Dollars in thousands)	January 25, 2003	January 26, 2002
Deferred tax assets:		
Deferred compensation	$ 5,163	$ 5,202
Insurance reserves not yet deductible	5,079	4,885
Customer contracts	2,045	2,299
Loss on disposal of discontinued segment	1,242	12,736
Other	9,701	10,538
	23,230	35,660
Deferred tax liabilities:		
Depreciation	(7,162)	(9,838)
Linen amortization	(8,129)	(8,247)
Other	(424)	(443)
	(15,715)	(18,528)
Net deferred tax assets	$ 7,515	$ 17,132

The deferred tax asset related to discontinued operations consists primarily of the writedown of inventory and fixed assets, estimated severance payments and estimated losses on transitional operations.

Temporary differences of approximately $8,816,000 related to investments in foreign subsidiaries are expected to reverse in fiscal 2004. Included in deferred tax liabilities is $441,000 related to these temporary differences.